

**Signalling Status in Unequal Societies: The Role of Income Inequality in Conspicuous
Consumption**

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Abstract

Rising income inequality has been shown to heighten individuals' preoccupation with social status and engagement in status competition. Existing research, however, has relied on aggregated data which lacks individual-level insights. The research has also predominantly utilized state-level measures of income inequality which overlooks significant variations in income distribution across the state. To address this, we investigate the relationship between county-level income inequality and the consumption of status goods for individual households. Utilizing purchasing data from 60,000 United States households, we analyse how county-level income inequality influences consumer spending on status goods. The findings reveal a positive association between income inequality and the propensity for conspicuous consumption, suggesting that individuals in more unequal societies are more likely to engage in status-driven purchases. Conspicuous consumption is also found to be higher for high-income households compared to their low-income counterparts.

Keywords: income inequality, conspicuous consumption, status anxiety, status goods, social hierarchy

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Introduction

Income inequality, defined as the uneven distribution of income across a population, has emerged as one of the most pressing challenges facing the world today. According to a recent report by the World Inequality Lab (Chancel et al., 2022), the richest 10% owns 76% of global wealth while the poorest 50% owns only 2% of the wealth. The consequences of this disparity are far-reaching for societies.

Rising income inequality has been associated with several negative outcomes. For instance, higher income inequality has been associated with higher levels of infant mortality rates, teenage births, imprisonment rates, and homicides (Elgar & Aitken, 2011; Mayer & Sarin, 2005; Ribeiro et al., 2017; Wilkinson & Pickett, 2011). Higher income inequality has also been associated with health-related issues like diabetes and obesity in more developed countries (Chen et al., 2023; Matthew & Brodersen, 2018; Pickett et al., 2005).

Evidence also suggests that societal income inequality has psychological effects on individual members of the society. For instance, higher income inequality is associated with lower happiness levels and a decrease in life satisfaction (Cheung & Lucas, 2016; Oishi et al., 2011). Higher income inequality has also been associated with higher levels of stress, anxiety, and depression (Wilkinson & Pickett, 2019). Higher income inequality thus leads to a reduced societal well-being.

One behavioural response that has been observed in societies with higher income inequality is the heightened preoccupation with social status. This social dynamic leads to an increase in conspicuous consumption, where individuals purchase status goods to signal their social standing (Hwang & Lee, 2017; Jaikumar & Sarin, 2015; Walasek & Brown, 2015, 2016).

Research shows that higher expenditure on status goods is associated with greater household debt and riskier asset portfolios, which can, in turn, lead to reduced household welfare (Bricker et al., 2021). These findings suggest that income inequality not only exacerbates economic disparities but also influences financial behaviours that may further undermine economic stability and individual well-being.

Given these dynamics, this study seeks to explore the relationship between income inequality and conspicuous consumption through two primary research questions:

1. **How does local income inequality influence conspicuous consumption at the household level?**

While previous research has indicated a correlation between income inequality and the purchase of status goods, much of this work has relied on aggregated data or broader geographic measures that may obscure more localized dynamics. By examining consumer behaviour at the county level across the United States, this study aims to provide a more detailed understanding of how economic disparities within smaller communities, impact spending on status goods.

2. **How is the relationship between income inequality and conspicuous consumption moderated by relative income?**

Another key question this study addresses is whether the propensity for conspicuous consumption varies across different income levels in areas with high inequality.

Previous studies suggest that lower-income individuals may engage more in conspicuous consumption as a response to inequality, but conflicting evidence also points to a significant desire for status goods among higher-income individuals. This research will investigate whether and how relative income affects the degree to which income inequality drives conspicuous consumption.

Literature Review

Theoretical Framework: The Status Anxiety Hypothesis

The status anxiety hypothesis offers a compelling explanation for the link between income inequality and societal ill-being. The status anxiety hypothesis posits that people living in societies with higher income inequality become more preoccupied with social status and engage in increased status competition (Wilkinson & Pickett, 2011, 2019). Higher income inequality creates a society where individuals are more likely to define themselves and others in terms of superiority and inferiority based on their income (Loughnan et al., 2011). More concern is given to the relative position that a person holds in the social hierarchy. This phenomenon is termed as status anxiety (De Botton, 2008). Status anxiety has been linked with elevated stress hormones and mental health issues which lead to a reduced well-being (Layte & Whelan, 2014).

Status anxiety causes individuals to engage more in status-seeking behaviours (Anderson et al., 2015). One example of status-seeking behaviours is the consumption of status goods. Status goods are goods that are valued primarily for their ability to convey the owner's social status rather than their intrinsic utility or function. Status goods include luxury items like expensive watches, luxury cars, and high-end fashion. This tendency of using purchased goods to signal social position was termed as "conspicuous consumption" by the economist Thorstein Veblen (Veblen, 2005).

Income Inequality and Conspicuous Consumption

Several studies have shown that higher income inequality leads to increased conspicuous consumption. For instance, using terms people used to search on the internet, Walasek and Brown were able to find a correlation between terms referring to status goods and state-level income inequality for US states (Walasek & Brown, 2015). States with higher income inequality had a higher proportion of search terms related to status goods like "fur vests" and

“Ralph Lauren”. In a subsequent study, Walasek & Brown were able to replicate the results using search terms data from across different countries (Walasek & Brown, 2016). These findings indicate that individuals living in areas with higher income inequality are more pre-occupied with the pursuing of status goods.

Other studies looked at items that individuals purchased to reveal a correlation between income inequality and conspicuous consumption. One study, using data from US grocery shoppers investigated whether national brand preference (which is associated with higher status) is associated with county-level income inequality (Kurt & Gino, 2023). The study found that shoppers living in places with higher income inequality preferred national brands compared to private brands which are cheaper but are perceived as lower status. Another study, using data from urban and rural households in India examined whether there was a correlation between household conspicuous consumption and state-level income inequality (Jaikumar & Sarin, 2015). The study found that households in states with higher income inequality engaged in conspicuous consumption more than the households in lower income inequality.

Conspicuous Consumption across Income Levels

The link between rising income inequality and increased status anxiety, which subsequently drives conspicuous consumption, is well-supported by existing research. However, an intriguing question arises: does status anxiety predominantly afflict those at the lower end of the income spectrum, or does it also extend to individuals at higher income levels? Understanding this distinction is crucial because it can reveal the pervasive nature of status anxiety across socioeconomic groups and its broader social implications.

If status anxiety primarily affects lower-income individuals, this suggests that the psychological impacts of inequality are more pronounced for those with fewer resources, potentially leading to increased financial strain and reduced well-being due to spending on status goods. This would underscore the need for targeted policy interventions, such as

progressive taxation or social safety nets, to alleviate the pressures faced by lower-income households in high-inequality environments (Mankiw, 2013). Conversely, if status anxiety affects individuals across all income levels, it may indicate that inequality fosters a broader culture of consumption and competition, contributing to societal stress and instability regardless of economic standing.

Observational studies provide some insight into this issue. In a study of conspicuous consumption among Indian households (Jaikumar & Sarin, 2015), researchers found that while income inequality increased conspicuous consumption for both low- and high-income households, the effect was more pronounced among low-income households. Another study investigated whether inequality at the workplace is associated with conspicuous consumption (Muggleton et al., 2022). In addition to that, the study also investigated if there was a link between conspicuous consumption and an individual's workplace salary rank. The study found that conspicuous consumption was higher for individuals occupying the lower ranks at their workplace. Similarly, a study by Mazzocco et al found that individuals who identified with a social group with relative lower status (e.g., blacks) exhibited greater desire for status goods compared to those who identified with a higher status (e.g., whites) (Mazzocco et al., 2012).

Experimental studies have replicated these findings as well. For instance, one study manipulated perceived income inequality and found that it increased the pursuit of status goods among individuals with low social status compared to those with high social status (Du et al., 2022). Another study examined the effects of subjective socioeconomic status on conspicuous consumption and found that people with low subjective socioeconomic status were more likely to engage in conspicuous consumption (Wang et al., 2022). However, both studies did not measure actual status good consumption, and their samples may not be representative of the overall population. Despite these limitations, the findings suggest that

conspicuous consumption may be higher among low-income households compared to their high-income counterparts.

Competing evidence shows that upper class individuals engage in as much or even more status-seeking behaviour compared to lower class individuals. For instance, there is evidence to suggest that upper-class individuals are more likely to cheat, lie and even break the law to gain an advantage and maintain their place in the social hierarchy (Piff et al., 2012). In organizational settings, upper-class individuals are more likely to seek positions of power through political behaviour compared to their lower-class counterparts (Belmi & Laurin, 2016). Using multiple studies, Wang et al also found that higher social class was correlated with a greater desire for wealth and status, with upper-class individuals using wealth and status as important attributes for self-identification (Wang et al., 2020). These findings suggest that conspicuous consumption could be equally or even more prevalent among the upper class, challenging the notion that it is primarily a behaviour of lower-income individuals.

This evidence collectively indicates that conspicuous consumption, as a response to income inequality, may vary significantly depending on an individual's relative income and perceived social status. These divergent patterns of behaviour underscore the importance of examining not just how income inequality influences conspicuous consumption overall but also how this relationship is moderated by relative income.

The present research

This study aims to deepen our understanding of the relationship between income inequality and conspicuous consumption by focusing on two key research questions: (1) How does local income inequality influence conspicuous consumption at the household level? and (2) How is this relationship moderated by relative income?

To explore these questions, we use consumer purchases data from around 60,000 households across the United States. This comprehensive dataset allows us to investigate the effects of income inequality on conspicuous consumption in two distinct but related ways. First, by focusing on county-level income inequality, we can provide a more detailed understanding of how local economic disparities influence spending on status goods at the household level. This approach addresses limitations in prior research, which often relied on aggregated data (Walasek & Brown, 2015, 2016) or broader geographic measures, such as state-level income inequality (Hwang & Lee, 2017; Jaikumar & Sarin, 2015). These broader measures can obscure localized dynamics and lead to a loss of individual-level insights. By examining consumer behaviour at the household level and income inequality at the county level, our study captures variations in conspicuous consumption that may be overlooked when using broader measures, offering a more granular perspective on how income inequality affects consumer choices.

Second, using the same dataset, we examine how the relationship between income inequality and conspicuous consumption is moderated by relative income. This aspect of our research addresses the second research question, investigating whether individuals at different income levels respond differently to local income inequality. Previous studies have suggested that conspicuous consumption may be more prevalent among low-income individuals in regions with high inequality (Jaikumar & Sarin, 2015; Muggleton et al., 2022). However, conflicting evidence indicates that this pattern does not consistently hold, with some findings suggesting that higher-income individuals also engage in status-seeking behaviours in response to inequality (Wang et al., 2020). By analysing the interplay between income inequality, relative income, and conspicuous consumption, our study seeks to clarify these discrepancies and contribute to a more nuanced understanding of the social and economic factors driving consumer behaviour in unequal societies.

By leveraging consumer purchase data across these two dimensions, our research not only extends existing knowledge on the localized effects of income inequality on conspicuous consumption but also explores the complex ways in which individual relative income positions may shape these consumption patterns.

Methods

Datasets

The primary source of data utilized in this study comes from the Nielsen Consumer Panel for the year 2011. The first dataset Nielsen provides is the ‘panelists’ dataset which contains household information for 62,085 households across the United States. The dataset attributes include household zip code, household income, marital status, family size and other household-related details. Table 1 shows summary statistics for the ‘panelists’ dataset for key variables.

Table 1

Panelists dataset summary statistics

Attribute	Value
Average household income	\$50,000 - \$54,999
Minimum household income	Under \$5000
Maximum household income	\$100,000 +
Average household size	2.36
Minimum household size	1
Maximum household size	9
Total unique household zip codes	15998

Panelists dataset has a total of 62,092 rows

The second dataset from Nielsen is the ‘trips’ dataset which contains information about shopping trips made by the households for the whole year. The ‘trips’ dataset has 11 million rows worth of records. Information stored on the ‘trips’ dataset includes a unique trip code identifier, store code, amount spent, and date of the trip. Table 2 shows ‘trips’ dataset summary statistics.

Table 2

Trips dataset summary statistics

Attribute	Value
Average number of shopping trips made per household	181
Minimum number of shopping trips made per household	11
Maximum number of shopping trips made per household	2216
Average amount spent per shopping trip	\$44.8
Minimum amount spent per shopping trip	\$0
Maximum amount spent per shopping trip	\$1000

Trips dataset has a total of 11,269,184 rows

The third Nielsen dataset is a dataset with 66 million rows called ‘purchases’ that contains information on every single purchase that was made for the year. Information stored on the ‘purchases’ dataset includes the product that was bought, quantity bought, and the total price paid. The final Nielsen dataset is the ‘products’ dataset which contains information on around 6 million products. Information on the products includes a unique identifier for each product, product group or category and brand name.

To supplement the datasets provided by Nielsen, the study also utilizes the 2011 United States county-level GINI index of income inequality, and household median income datasets obtained from the United States Census Bureau.

Product conspicuousness rating

Before beginning our analysis, we conducted a pilot study. We asked 500 participants to rate the extent to which 116 product categories (e.g., candy, wine, fresh produce) are luxurious purchases (see Appendix 1). The sample of participants was restricted to US-based to ensure that they matched in location with the households from the Nielsen Consumer Panel dataset. Each participant was given the following information:

“Some people care about their social status more than others. These individuals pay a lot of attention to how they appear to others. As a result, they may choose to buy different products when they go shopping, as some products are better at signalling high status.”

The participants were then asked to rate a product category’s conspicuousness on a scale of 1 (strongly disagree) to 7 (strongly agree). Here’s how the rating prompts were phrased:

“People who care about the social status buy more expensive products from the category X compared to people who do not care about their social status.”

For each product category, we calculate the average rating provided by the participants. Table 3 lists product categories that were categorized as most and least conspicuous by the participants. The full list of categories with their average rating can be found in the appendix.

Table 3

Product categories rated as most and least conspicuous

Most conspicuous product categories		Least conspicuous product categories	
Category	Average rating	Category	Average rating
Watches and timepieces	6.63	Vegetables – canned	2.95
Wine	6.58	Fruit – canned	3.06

Fragrances – women	6.39	Fruit – dried	3.06
Sunglasses	6.38	Glassware, tableware	3.06
Cosmetics	6.34	Canning, freezing supplies	3.14
Skin care preparations	6.28	Vegetables – frozen	3.14
Liquor	6.22	Sewing notions	3.33
Hair care	6.15	Sugar, sweeteners	3.38
Housewares, appliances	5.95	Vegetables and grains – dried	3.39
Cookware	5.77	Prepared food – dry mixes	3.41

Measures

Conspicuous Consumption

To calculate the degree of conspicuous consumption for each household, we used a method that considers both the proportion of spending on each product category and the conspicuous rating for each category. This variable serves as the dependent variable used for our models. The formula we used for calculating conspicuous consumption for a household can be expressed as:

$$CC = \sum_{i=1}^n \left(\frac{\text{Total Annual Spend}}{\text{Spend on Category } i} \times \text{Category } i \text{ Conspicuous Rating} \right) \quad (1)$$

Where:

CC is Conspicuous Consumption,

n is the total number of product categories,

Spend on Category i is the total annual spend on category *i*,

Total Annual Spend is total annual spend across all categories,

and *Category i Conspicuous Rating* is the average rating for category *i*

Income inequality

To measure income inequality, we use the Gini coefficient (GINI) which ranges from 0.0 to 1.0, where 0.0 is perfect equality and 1.0 is perfect inequality. As previously mentioned, we use county-level GINI values obtained from the United States Census Bureau. The dataset contains GINI values with their corresponding FIPS (Federal Information Processing Standard) codes and area names. We matched this information with the FIPS codes also provided by the Nielsen ‘panelists’ dataset for each household.

Data Preparation

To obtain the product categories which were shown to participants for conspicuous rating, we used category naming provided by the Nielsen ‘products’ dataset. There were some products however which were left out due to their category naming. Some had missing category names, some had category names listed as “unclassified”, and some had unclear names like “perishable combination pack”. As a result, a total of 7,736,874 purchases had missing conspicuousness rating and were thus discarded from further analysis.

Several new attributes in the ‘panelists’ dataset were created by transforming existing attributes. This was done to make the model results more meaningful. The newly created attributes include “Household Age” which averages two existing attributes “Male Head Age” and “Female Head Age” and takes one if the other is missing. Another created attribute is a binary attribute “Household College” denoting if either the male household head or the female household head has a college degree. “Household College” makes use of two existing attributes “Male Head Education” and “Female Head Education”. Another attribute is “Household Employed”, a binary attribute denoting if either the male or female household head is employed. “Household Employed” makes use of “Male Head Employment” and “Female Head

Employment”. The last created attribute is the “Household Income Rank” which denotes whether the household is low-income or high-income. The “Household Income Rank” was created by first merging the ‘panelists’ dataset with the county household median income dataset provided by the United States Census Bureau. The existing “Household Income” attribute from the ‘panelists’ dataset was then compared with the “County Median Income” attribute. Each household’s income rank was then denoted as “Low-Income” if it was below the respective county’s median income, else it was denoted as “High-Income”.

Additionally, the “County Median Income” variable was standardized. Standardization was performed by subtracting the mean county median income from each county’s median income value and dividing the result by the standard deviation. This was done to allow for comparison across different counties while accounting for variations in income distribution. Standardizing also helps to mitigate the influence of scale differences and enhance interpretability of the regression coefficients.

Modeling

This section outlines the regression models utilized to investigate the relationship between income inequality and conspicuous consumption.

For the first aim of the study, a linear regression model was estimated with conspicuous consumption predicted by county-level income inequality for individual households as follows:

$$\begin{aligned} \text{Conspicuous Consumption} = & \beta_0 + \beta_1 \text{Gini} + \beta_2 \text{HH_Income} + \beta_3 \text{HH_Age} + \\ & \beta_4 \text{HH_College} + \beta_5 \text{HH_Employed} + \beta_6 \text{HH_Size} + \beta_7 \text{HH_Race} + \\ & \beta_8 \text{County_Mdn_Income} + \epsilon \end{aligned} \quad (2)$$

Where:

Gini is county-level income inequality,

HH_Income is household absolute income,

HH_Age is median age for household heads,

HH_College is availability of college education for household heads,

HH_Employed is availability of employment for household heads,

HH_Size is the household size,

HH_Race is the household race, and

County_Mdn_Income is the county's household median income.

The controls used included household characteristics (income, age, size, education, race) and county controls (household median income). The controls were drawn from prior literature (Jaikumar & Sarin, 2015; Kurt & Gino, 2023; Mazzocco et al., 2012). The model results are outlined in the results section.

To achieve the second study aim, another linear regression analysis was conducted. The regression model with conspicuous consumption predicted by income inequality, household income rank, and the interaction term between county level income inequality and household income rank was estimated as follows:

$$\begin{aligned} \text{Conspicuous Consumption} = & \beta_0 + \beta_1 \text{Gini} + \beta_2 \text{HH_Income_Rank} + \beta_3 \text{HH_Age} + \\ & \beta_4 \text{HH_College} + \beta_5 \text{HH_Employed} + \beta_6 \text{HH_Size} + \beta_7 \text{HH_Race} + \\ & \beta_8 \text{County_Mdn_Income} + \beta_9 (\text{Gini} \times \text{HH_Income_Rank}) + \epsilon \end{aligned} \quad (3)$$

Where:

Gini is county-level income inequality,

HH_Income_Rank is the household income rank,

HH_Age is median age for household heads,

HH_College is availability of college education for household heads,

HH_Employed is availability of employment for household heads,

HH_Size is the household size,

HH_Race is the household race,

County_Mdn_Income is the county's household median income, and

Gini x HH_Income_Rank is the interaction term between county level inequality and household income rank (high or low income).

The results of the model are also presented in the results section.

Results

Model 1: Linear Regression Analysis of Conspicuous Consumption

The results of the linear regression model predicting conspicuous consumption from county-level income inequality and household characteristics are presented in Table 4.

Table 4

Results from regression of conspicuous consumption on income inequality

Predictor	Dependent variable: Conspicuous consumption		
	β	$t(62,076)$	p
County-level income inequality	0.1034	4.705	<.001 ***
Household absolute income	0.0045	31.948	<.001 ***
Household age	0.0026	5.262	<.001 ***
Household college education	0.0144	7.209	<.001 ***
Household employment	0.0090	4.716	<.001 ***
Household race	0.0019	1.772	0.077
Household size	-0.0332	-52.618	<.001 ***

County median income	0.0016	2.034	0.042 *
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Note: Adjusted R^2 for the regression model was .06.

*Significance codes: *** $p < .001$, ** $p < .01$, * $p < .05$, . $p < .10$.*

The model explained a significant proportion of variance in conspicuous consumption, $R^2 = 0.062$, $F(8, 62076) = 512.9$, $p < .001$. The results indicate that county-level income inequality was positively associated with conspicuous consumption, $\beta = 0.103$, $SE = 0.022$, $p < .001$. Household income, age, education, and employment status were also positively related to conspicuous consumption, while household size was negatively associated. The county median income showed a small but significant positive effect.

These findings support the hypothesis that higher income inequality at the county level is associated with increased conspicuous consumption, even after controlling for household income and other demographic factors. The results suggest that individuals living in areas with greater income disparities are more likely to engage in status-signalling consumption behaviours.

Model 2: Linear Regression Analysis of Conspicuous Consumption with Interaction Terms

The results of the second linear regression model, which examines the interaction between county-level income inequality and household income rank on conspicuous consumption, are summarized in Table 5.

Table 5

Results from regression of conspicuous consumption on income inequality and income rank

Predictor	Dependent variable: Conspicuous consumption		
	β	$t(62,076)$	p
County-level income inequality	-0.0003	-0.008	0.993

Income rank – High income	-0.0525	-2.736	0.006 **
Household age	0.0034	7.079	< .001 ***
Household college education	0.0197	9.904	< .001 ***
Household employment	0.0169	8.959	< .001 ***
Household race	0.0015	1.407	0.159
Household size	-0.0316	-50.33	< .001 ***
County median income	0.0079	10.48	< .001 ***
(County-level income inequality: Income rank – High income)	0.2050	4.781	< .001 ***

Note: Adjusted R^2 for the regression model was .056.

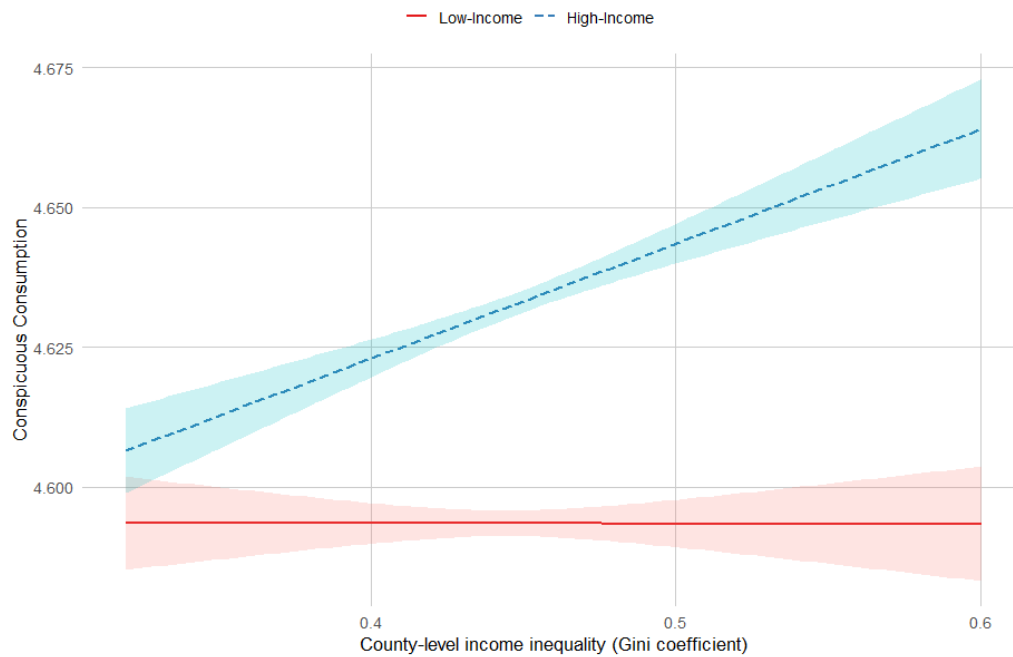
*Significance codes: *** $p < .001$, ** $p < .01$, * $p < .05$, . $p < .10$.*

The model demonstrated a significant overall fit, $R^2 = 0.056$, $F(9, 62075) = 408.2$, $p < .001$. The interaction term between county-level income inequality and household income rank was significant, indicating that the effect of income inequality on conspicuous consumption varies by income rank. Specifically, while the main effect of county-level income inequality was not significant ($\beta = -0.00026$, $SE = 0.03267$, $p = 0.99354$), the interaction term (County-level income inequality: Income rank – High income) was positively associated with conspicuous consumption ($\beta = 0.205$, $SE = 0.04288$, $p < .001$).

A simple slopes analysis revealed that for low-income households, the slope of county-level income inequality was not significant ($\beta = -0.00$, $SE = 0.03$, $p = 0.99$). In contrast, for high-income households, the slope of county-level income inequality was significant ($\beta = 0.20$, $SE = 0.03$, $t = 7.07$, $p < .001$). The interaction plot (see Figure 1) illustrates how the relationship between county-level income inequality and conspicuous consumption differs based on household income rank.

Figure 1

Interaction between county-level income inequality and household income rank on conspicuous consumption



Note: The figure shows that for low-income households (solid red line), county-level income inequality has no significant effect on conspicuous consumption. However, for high-income households (dashed blue line), there is a significant positive relationship, indicating higher conspicuous consumption as income inequality increases. Shaded areas represent 95% confidence intervals.

This suggests that higher income inequality is associated with increased conspicuous consumption among high-income households, while low-income households do not exhibit a significant relationship between income inequality and conspicuous consumption. These findings indicate that the impact of income inequality on conspicuous consumption is moderated by household income rank.

Discussion

Summary of Findings

The present study aimed to examine the relationship between income inequality and conspicuous consumption, guided by the status anxiety hypothesis, which suggests that individuals are more likely to spend on conspicuous goods to signal status in environments with greater income disparity. Building on previous research that has linked income inequality to increased social comparison and status-seeking behaviour, we hypothesized that higher levels of income inequality would be associated with increased spending on status goods. Our results supported this hypothesis, showing that higher levels of income inequality are indeed associated with greater conspicuous consumption. Furthermore, we found that spending on status goods was higher for households with a higher income rank, suggesting that higher-income households are more sensitive to income inequality when it comes to conspicuous consumption.

Theoretical Implications

These findings contribute to the existing literature by providing empirical evidence that supports the status anxiety hypothesis in the context of consumer behaviour. While previous studies have explored the psychological and social ramifications of income inequality, our research extends this line of inquiry by linking income disparities directly to consumption patterns.

The study also highlights the importance of considering the role of conspicuous consumption as a social phenomenon influenced by macroeconomic conditions. In societies with higher income inequality, the pressure to conform to social norms through visible consumption may be greater, leading to increased expenditure on luxury goods.

Practical Implications

From a policy perspective, these findings raise important considerations for addressing the broader societal impacts of income inequality. If conspicuous consumption is, in part, a response to rising income inequality, then policies aimed at reducing income disparities could have the additional benefit of curbing excessive consumption of luxury goods. Such policies might include implementing progressive taxation to reduce income gaps, increasing investment in public services such as education and infrastructure to enhance social welfare, and enacting financial regulations that prevent excessive wealth accumulation and promote economic equality (Saez & Zucman, 2016; Stiglitz, 2012).

Limitations and Future Research

Despite the strengths of this study, several limitations should be acknowledged. The first limitation lies in the limited scope in which we measured conspicuous consumption. We measured conspicuous consumption as the proportion of spending on product category based on its conspicuous rating. While we find this measure to be effective, there are other aspects of conspicuous consumption we did not measure. One of these aspects is the product's brand. Previous research has shown that there is an association between preference for certain brands and conspicuous consumption (Arvidsson, 2006; Kurt & Gino, 2023; Schroeder et al., 2006). Future research could expand on this by examining the role of specific brands or brand visibility in conspicuous consumption. This could be done by analysing spending data on branded versus non-branded goods or investigating brand loyalty in relation to income inequality.

Second, the cross-sectional nature of our data limits the ability to draw causal inferences about the relationship between income inequality and conspicuous consumption. Although our findings are consistent with the status anxiety hypothesis, longitudinal data would be necessary to establish causality more definitively. Future studies could address this by examining changes in consumption patterns over time in relation to shifts in income inequality.

Finally, while this study focuses on the context of the United States, the generalizability of these findings to other cultural and economic contexts remains an open question. Comparative studies across different countries with varying levels of income inequality could provide valuable insights into the universality or context-specificity of the observed relationship.

Conclusion

In conclusion, this study provides evidence that income inequality is positively associated with conspicuous consumption, supporting the notion that economic disparities can drive consumer behaviour in ways that reinforce social stratification. By linking income inequality to material consumption, this research contributes to a deeper understanding of the societal consequences of economic inequality and opens avenues for future exploration in both theory and practice. Addressing the root causes of income inequality may not only promote social equity but also encourage more sustainable consumption patterns.

Data Availability Statement

The Nielsen Consumer Panel data utilized in this study is owned by Warwick Business School and can not be shared. The R code used for data analysis, county GINI and household income datasets together with the product ratings dataset can be found in an online repository at: <https://github.com/jaymedici/dissertation>.

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Appendices

Appendix 1

Product Categories with their average conspicuous ratings

Category	Average Rating
Automotive	5.55
Baby Food	4.98
Baby Needs	5.37
Baked Goods-Frozen	4.03
Baking Mixes	4.03
Baking Supplies	4.03
Batteries And Flashlights	3.62
Beer	5.34
Books And Magazines	4.76
Bread And Baked Goods	4.71
Breakfast Food	4.18
Breakfast Foods-Frozen	4.18
Butter And Margarine	3.94
Candy	4.38
Canning, Freezing Supplies	3.14
Carbonated Beverages	4.36
Cereal	4.18
Charcoal, Logs, Accessories	3.63
Cheese	5.13
Coffee	5.71
Condiments, Gravies, And Sauces	3.93

Cookies	4.45
Cookware	5.77
Cosmetics	6.34
Cot Cheese, Sour Cream, Toppings	3.83
Cough And Cold Remedies	5.21
Crackers	3.76
Deodorant	4.75
Desserts, Gelatins, Syrup	5.06
Desserts/Fruits/Toppings-Frozen	5.06
Detergents	4.23
Diet Aids	5.20
Disposable Diapers	5.37
Dough Products	4.03
Dressings/Salads/Prep Foods-Deli	4.42
Eggs	3.74
Electronics, Records, Tapes	4.99
Feminine Hygiene	4.56
First Aid	5.21
Floral, Gardening	5.45
Flour	4.03
Fragrances - Women	6.39
Fresh Meat	5.58
Fresh Produce	4.96
Fresheners And Deodorizers	4.83
Fruit - Canned	3.06

Fruit - Dried	3.06
Glassware, Tableware	3.06
Grooming Aids	5.56
Grt Cards/Party Needs/Novelties	5.20
Gum	4.10
Hair Care	6.15
Hardware, Tools	4.23
Hosiery, Socks	5.07
Household Cleaners	4.19
Household Supplies	4.20
Housewares, Appliances	5.95
Ice Cream, Novelties	4.72
Insecticides/Pesticides/Rodenticides	3.45
Jams, Jellies, Spreads	4.28
Juice, Drinks - Canned, Bottled	4.36
Juices, Drinks-Frozen	4.36
Kitchen Gadgets	5.21
Laundry Supplies	4.28
Light Bulbs, Electric Goods	4.86
Liquor	6.22
Medications/Remedies/Health Aids	5.22
Men's Toiletries	5.18
Milk	3.89
Nuts	4.08
Oral Hygiene	5.20

Packaged Meats-Deli	4.42
Packaged Milk and Modifiers	3.89
Paper Products	4.19
Pasta	4.10
Personal Soap and Bath Additives	5.58
Pet Care	5.58
Pet Food	5.58
Photographic Supplies	5.18
Pickles, Olives, And Relish	3.88
Pizza/Snacks/Hors D'oeuvres-Frzn	3.61
Prepared Food-Dry Mixes	3.41
Prepared Food-Ready-To-Serve	5.02
Prepared Foods-Frozen	3.71
Pudding, Desserts-Dairy	5.06
Salad Dressings, Mayo, Toppings	3.93
Sanitary Protection	4.56
Seafood - Canned	3.63
Sewing Notions	3.33
Shaving Needs	4.89
Shoe Care	4.88
Shortening, Oil	4.30
Skin Care Preparations	6.28
Snacks	4.52
Snacks, Spreads, Dips-Dairy	4.52
Soft Drinks-Non-Carbonated	4.36

Soft Goods	5.53
Soup	3.69
Spices, Seasoning, Extracts	4.65
Stationery, School Supplies	4.90
Sugar, Sweeteners	3.38
Sunglasses	6.38
Table Syrups, Molasses	3.89
Tea	5.01
Tobacco & Accessories	4.47
Toys & Sporting Goods	5.56
Ungrouped Items	6.63
Unprep Meat/Poultry/Seafood-Frzn	4.44
Vegetables - Canned	2.95
Vegetables And Grains - Dried	3.39
Vegetables-Frozen	3.14
Vitamins	5.27
Wine	6.58
Wrapping Materials and Bags	4.82
Yeast	4.03
Yogurt	4.26

Note: Product categories' conspicuousness was rated on a scale of 1 (strongly disagree) to 7 (strongly agree)

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